

Granules USA, Inc.**Consolidated Balance Sheet as at March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Particulars	Notes	As at March 31, 2024	As at March 31, 2023
Assets			
Non-current assets			
Property, plant and equipment	3A	1,167.26	1.26
Right-of-use assets	3B	570.32	622.62
Capital work-in-progress	3C	448.92	1,358.30
Other intangible assets	3D	18.62	-
Other financial assets	5C	15.30	16.80
Deferred tax assets	20C	99.16	14.28
Income tax assets (net)		5.19	-
Other non-current assets	6A	1.18	38.96
Total non-current assets		2,325.95	2,052.22
Current assets			
Inventories	4	2,712.60	1,857.45
Financial assets			
(i) Trade receivables	5A	2,057.64	1,259.27
(ii) Cash and cash equivalents	5B	316.84	156.16
Other current assets	6B	37.96	12.38
Total current assets		5,125.04	3,285.26
Total assets		7,450.99	5,337.48
Equity and liabilities			
Equity			
Equity share capital	7	3.26	3.26
Other equity	8	36.14	223.33
Total equity		39.40	226.59
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Lease liabilities	11	581.87	619.05
Total non-current liabilities		581.87	619.05
Current liabilities			
Financial liabilities			
(i) Borrowings	9A	1,250.10	1,231.69
(ii) Lease liabilities	11	46.43	34.53
(iii) Trade payables	9B	5,371.00	3,126.29
(iv) Other financial liabilities	9C	151.94	35.06
Other current liabilities	10	10.25	51.55
Current tax liabilities, net		-	12.72
Total current liabilities		6,829.72	4,491.84
Total liabilities		7,411.59	5,110.89
Total equity and liabilities		7,450.99	5,337.48
Material accounting policies	2		
The accompanying notes are an integral part of these consolidated financial statements			

Granules USA, Inc.**Consolidated Statement of Profit and loss for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Particulars	Notes	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Income			
Revenue from operations	12	7,187.77	7,266.50
Other income	13	153.02	29.93
Total income		7,340.79	7,296.43
Expenses			
Cost of materials consumed	14	6,570.54	7,080.52
Changes in inventories of work-in-progress and finished goods	15	(734.40)	(587.04)
Employee benefit expenses	16	659.62	248.28
Finance costs	17	110.29	16.28
Depreciation and amortisation expense	18	149.15	6.29
Other expenses	19	846.97	477.88
Total expenses		7,602.17	7,242.21
Profit/(loss) before tax		(261.38)	54.22
Tax expense			
(i) Current tax	20A	10.39	13.86
(ii) Deferred tax	20A	(83.38)	0.39
Total tax expense		(72.99)	14.25
Profit/(loss) for the year		(188.39)	39.97
Other comprehensive income			
Items that will be reclassified to profit or loss			
Gain arising on translation of foreign operations		1.20	14.26
Other comprehensive income for the year		1.20	14.26
Total comprehensive income for the year		(187.19)	54.23
Earnings per share:			
Equity shares of par value of USD 0.10 each	21		
Basic EPS		(269.13)	57.10
Diluted EPS		(269.13)	57.10
		0.10	0.10
Material accounting policies	2		
The accompanying notes are an integral part of these consolidated financial statements.			

Granules USA, Inc.**Consolidated Statement of Changes in Equity for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Equity share capital

Particulars	Balance at the beginning of the year	Shares issued during the year	Balance at the end of the year
March 31, 2024	3.26	-	3.26
March 31, 2023	3.26	-	3.26

Other equity

Particulars	Reserves and surplus		Other comprehensive income	Total other Equity
	Securities premium	Retained earnings	Foreign currency translation reserve	
Balance as on April 1, 2022	8.37	157.42	3.31	169.10
Profit for the year		39.97		39.97
Gain arising on translation of foreign operations			14.26	14.26
Balance as on March 31, 2023	8.37	197.39	17.57	223.33
Loss for the year		(188.39)		(188.39)
Gain arising on translation of foreign operations			1.20	1.20
Balance as on March 31, 2024	8.37	9.00	18.77	36.14

The accompanying notes are an integral part of these consolidated financial statements

Granules USA, Inc.

Consolidated Statement of cash flows for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Particulars	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Cash flow from operating activities		
Net profit/(loss) before tax	(261.38)	54.22
Adjustments for:		
Depreciation and amortisation expense	149.15	6.29
Bad debts written off	24.44	-
Allowance for doubtful trade receivables	(7.40)	23.89
Finance cost	110.29	16.28
Operating profit before working capital changes	15.10	100.68
Movements in working capital:		
Increase in trade receivables	(795.20)	(306.39)
Increase in inventories	(827.39)	(574.59)
Increase in other financial and non financial assets	(23.68)	(13.23)
Increase in trade payables and other liabilities	2,265.69	1,704.26
Cash generated from operations	634.52	910.73
Direct taxes paid (net of refunds)	(28.34)	4.11
Net cash flow generated from operating activities (A)	606.18	914.84
Cash flow used in investing activities		
Purchase of property, plant and equipments and intangible assets including capital work-in-progress, capital advances and capital creditors	(296.17)	(1,769.09)
Net cash flow used in investing activities (B)	(296.17)	(1,769.09)
Cash flow from/(used in) financing activities		
Proceeds from current borrowings	248.33	963.63
Repayment of current borrowings	(248.33)	(240.91)
Finance cost paid	(83.53)	(8.51)
Repayment of lease liability (including related interest)	(67.27)	(58.97)
Net cash flow from/(used in) financing activities (C)	(150.80)	655.24
Net increase/(decrease) in cash and cash equivalents (A+B+C)	159.21	(199.01)
Cash and cash equivalents at the beginning of the year	156.16	332.45
Exchange differences on translation to presentation currency	1.47	22.72
Cash and cash equivalents at the end of the year	316.84	156.16
Components of cash and cash equivalents:		
Balances with banks		
On current accounts	316.84	156.16
Total cash and cash equivalents (Refer note 5B)	316.84	156.16

Granules USA, Inc.

Consolidated Statement of cash flows for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Changes in liabilities arising from financing activities	Lease liabilities - Non Current and Current (Refer Note 11)	Borrowings - Current (Refer Note 9A)	Finance cost other than lease liabilities
Opening as at March 31, 2022	-	455.40	-
Proceeds from current borrowings	-	963.63	-
Repayment of current borrowings	-	(240.91)	-
Additions	682.93	-	-
Deletions	-	-	-
Finance cost	30.27	-	14.85
Payment of lease liabilities	(58.97)	-	-
Finance cost paid	-	-	(8.51)
Effects of changes in foreign exchange rates	(0.65)	53.57	-
Closing as at March 31, 2023	653.58	1,231.69	6.34
Proceeds from current borrowings	-	248.33	-
Repayment of current borrowings	-	(248.33)	-
Additions	-	-	-
Deletions	-	-	-
Finance cost	32.53	-	77.76
Payment of lease liabilities	(67.27)	-	-
Finance cost paid	-	-	(83.53)
Effects of changes in foreign exchange rates	9.46	18.41	0.09
Closing as at March 31, 2024	628.30	1,250.10	0.66

The above Consolidated statement of cash flow has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS-7) - "Statement of Cash Flows".

The accompanying notes are an integral part of these consolidated financial statements

Granules USA, Inc.

Notes to Consolidated Financial Statements

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

1. Company overview

1.1 Reporting entity

The Consolidated Financial Statements relate to Granules USA, Inc ("GUSA" or the "Company") and its wholly owned subsidiary Granules Consumer Health, Inc. ("GCH"). The Company and its subsidiary constitute the Group.

GUSA is, domiciled in United States of America (USA). The Company has been incorporated on March 05, 2003 in Delaware, USA. The Company is wholly owned subsidiary of Granules India Limited ('GIL' or "the Parent"), a Company incorporated in India. The Company is primarily involved in packaging and selling of pharmaceutical products.

GCH is also domiciled in USA. GCH has been incorporated on June 15, 2021 as a wholly owned subsidiary of GUSA in Delaware, USA. GCH primarily focuses on marketing over-the-counter (OTC) medications to retailers. GCH opened a packaging facility which is FDA approved in Manassas, Virginia to support its business.

1.2 Basis of preparation of Consolidated Financial Statements

a) Statement of compliance

The Consolidated Financial Statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules, 2015 notified under Section 133 of Companies Act, 2013, (the 'Act').

These Consolidated Financial Statements have been prepared for the Group as a going concern on the basis of relevant Ind AS that are effective at the Group's annual reporting date, March 31, 2024. These Consolidate Financial Statements were authorised for issuance by the Company's Board of Directors on May 14, 2024.

The Consolidate Financial Statements are presented in INR and all values are rounded to the nearest millions, except when otherwise indicated.

Details of the Group's material accounting policies are included in Note 2.

b) Current versus non-current classification

All assets and liabilities have been classified as current and non-current as per the Group's normal operating cycle.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Group has identified 12 months as its operating cycle.

c) Basis for consolidation

Subsidiaries

Subsidiaries are all entities that are controlled by the Company. Control exists when the Company is exposed to, or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through power over the entity. In assessing control, potential voting rights are considered only if the rights are substantive. The financial statements of subsidiaries are included in these Consolidated Financial Statements from the date that control commences until the date that control ceases. For the purpose of preparing these Consolidated Financial Statements, the accounting policies of subsidiaries have been changed where necessary to align them with the policies adopted by the Company.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated in full while preparing these Consolidate Financial Statements.

d) Functional and presentation currency

The currency of the primary economic environment in which the Group generates and expends Cash is U.S. Dollar (USD). Hence, the functional currency of the Group is determined as USD. These Consolidate Financial Statements are presented in Indian rupees (INR), which is also the functional currency of the parent. The assets and liabilities of the Group are translated into INR, at the rate of exchange prevailing at the balance sheet date. Revenues and expenses are translated into INR at average exchange rates prevailing during the year. Resulting translation adjustment is included in Foreign Currency Translation Reserve (FCTR). All amounts have been rounded-off to the nearest millions, unless otherwise indicated.

e) Basis for measurement

These Consolidate Financial Statements have been prepared on the historical cost basis, except for the following items:

- Certain financial assets and liabilities are measured at fair value or amortized cost.

f) Use of estimates and judgements

The preparation of the Consolidate Financial Statements in conformity with Ind AS requires management to make estimates, judgements and assumptions. These estimates, judgements and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the Consolidate Financial Statements and reported amounts of revenues and expenses during the period. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the Consolidate Financial Statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the Consolidate Financial Statements.

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognized in the consolidated financial statements is included in the following notes:

- Note 1.2(d) - Assessment of functional currency;
- Note 2 (a) - Financial instruments;
- Note 20 - Provision for income taxes, duties/tax contingencies and Evaluation of Recoverability of deferred tax assets.

Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending March 31, 2024 is included in the following notes:

- Note 2(h.) & 22 – recognition and measurement of provisions and contingencies: key assumptions about the likelihood and magnitude of an outflow of resources.
- Note 4 – Provision for inventories.
- Note 2(d) – Useful lives of property, plant and equipment.
- Note 2(e) – Useful lives of Intangible assets.
- Note 5A – Provision for loss allowance on trade receivables.
- Note 2(g)(ii) - Measurement of recoverable amount of cash generated units; impairment of tangible and intangible assets.

g) Measurement of fair values

Accounting policies and disclosures require measurement of fair value for both financial and non-financial assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The principal or the most advantageous market must be accessible by the Group. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 2 (a) – financial instruments.

2. Material accounting policies

a. Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i. Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities are initially measured at fair values except for trade receivable which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial assets or financial liability.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

ii. Classification and subsequent measurement**Financial assets**

On initial recognition, a financial asset is classified and, measured at

- amortised cost;
- Fair value through other comprehensive income ('FVOCI') – debt investment;
- FVOCI – equity investment; or
- Fair value through profit and loss ('FVTPL')

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Group changes its business model for managing financial assets.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category is the most relevant to the Company. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the profit or loss. The losses arising from impairment are recognised in the profit or loss.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI – equity investment). This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets: Subsequent measurement and gain and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in statement of profit and loss
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in statement of profit and loss. Any gain or loss on derecognition is recognized in statement of profit and loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income under the effective interest method, foreign exchange gains and losses and impairment are recognized in statement of profit and loss. Other net gains and losses are recognized in OCI. On derecognition, gains and

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

	losses accumulated in OCI are reclassified to statement of profit and loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in statement of profit and loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are not reclassified to statement of profit and loss.

Financial liabilities: classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held for-trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in statement of profit and loss. Financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in statement of profit and loss. Any gain or loss on derecognition is also recognised in statement of profit and loss.

iii. Derecognition**Financial assets**

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control of the financial asset.

If the Group enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all or substantially all of the risks and rewards of the transferred assets, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Group also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in statement of profit and loss.

iv. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

b. Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management. Cash and cash equivalents includes balances with banks which are unrestricted for withdrawal and usage.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

c. Foreign currency

Transactions in foreign currencies are initially recorded at spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the spot rates of exchange at the reporting date.

Transactions in foreign currency are translated at the exchange rates prevailing on the date of the transactions. Monetary assets and liabilities denominated in foreign currency are restated at the prevailing year end rates. The resultant gain/loss upon such restatement along with the gain/loss on account of foreign currency transactions are accounted in the Statement of Profit and Loss, except exchange differences arising from the translation of the qualifying cash flow hedges to the extent that the hedges are effective which are recognised in OCI.

d. Property, plant and equipment**i. Recognition and measurement**

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost of an item or property, plant and equipment comprises its purchase price, import duties and non-refundable purchase taxes, after deducting trade discounts and rebates, any directly attributable cost of bringing the item to its working condition for its intended use and estimated costs of dismantling and removing the item and restoring the site on which it is located. Such cost includes the cost of replacing part of the plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. All other repair and maintenance costs are recognised in the statement of profit and loss as incurred.

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials and direct labour, any other costs directly attributable to bringing the item to its working condition for its intended use, and estimated costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment.

Any gain or loss on disposal of an item of property plant and equipment is recognised in statement of profit and loss.

Cost of assets not ready for intended use, as on the balance sheet date, is shown as capital work-in-progress. Amounts paid towards the acquisition of property, plant and equipment outstanding as of each reporting date are recognised as capital advance under “non-current assets”.

ii. Subsequent expenditure

Subsequent expenditure related to an item of property, plant and equipment is capitalised only if it increases the future benefits from the existing assets beyond its previously assessed standards of performance.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

iii. Depreciation

Depreciation is calculated on cost of items of property, plant and equipment less their estimated residual values over their estimated useful lives using the straight-line method.

Depreciation is calculated on a straight-line basis using the rates arrived at based on the useful lives estimated by the management.

The lives of the assets are as follows:

Nature of assets	Useful life as estimated by the management (in years)
Leasehold improvements	11 years
Plant and machinery	3-15 years
Data processing equipment	3-6 years
Office equipment	5 years
Furniture and fittings	10 years
Vehicles	6-8 years

Depreciation method, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

Depreciation on additions (disposals) is provided on a pro-rata basis i.e. from (upto) the date on which asset is ready for use (disposed off).

e. Intangible assets**Internally generated: Research and development**

Expenditure on research activities is recognized in statement of profit and loss as incurred.

Development expenditure is capitalised as part of the cost of the resulting intangible asset only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Otherwise, it is recognised in statement of profit and loss as incurred. Subsequent to initial recognition, the asset is measured at cost less accumulated amortisation and any accumulated impairment losses.

Others

Other intangible assets are initially measured at cost. Subsequently, such intangible assets are measured at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditure

Subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates.

Amortization

Other intangible assets are amortized on a straight line basis over the estimated useful life as follows:

Computer Software	10 years
Technical Know how	10 years

Amortization method, useful lives and residual values are reviewed at the end of each financial year and adjusted if appropriate.

f. Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on the monthly moving weighted average method, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their present location and condition. In the case of manufactured inventories and work-in-progress, cost includes an appropriate share of fixed production overheads based on normal operating capacity.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses. The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products.

Raw materials, components and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis.

The factors that the Group considers in determining the allowance for slow moving, obsolete and other non-saleable inventory include estimated shelf life, planned product discontinuances, price changes, ageing of inventory and introduction of competitive new products, to the extent each of these factors impact the Group's business and markets. The Group considers all these factors and adjusts the inventory provision to reflect its actual experience on a periodic basis.

g. Impairment**i. Financial assets (other than at fair value)**

The Group assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. In determining the allowances for doubtful trade receivables, the Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than the 270 days over and above the usual credit period.

The Group considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the group in full, without recourse by the Group to actions such as realising security (if any is held).

Evidence that a financial asset is credit impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being past due over a reasonable period of credit
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganization;

In case of investments, the Group reviews its carrying value of investments carried at cost annually, or more frequently, when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for.

ii. Tangible and intangible assets

Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that

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are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognized in the statement of profit and loss.

h. Provisions

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows (representing the best estimate of the expenditure required to settle the present obligation at the balance sheet date) at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognized as finance cost. Expected future operating losses are not provided for.

Contingent liabilities and contingent assets

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. Where there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent assets are not recognized in the consolidated financial statements. A contingent asset is disclosed where an inflow of economic benefits is probable. Contingent assets are assessed continually and, if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognized in the period in which the change occurs.

Onerous contracts

A contract is considered to be onerous when the expected economic benefits to be derived by the Group from the contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision for an onerous contract is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before such a provision is made, the Group recognises any impairment loss on the assets associated with that contract.

i. Earnings per share ('EPS')

The earnings considered in ascertaining the Group's Earnings Per Share (EPS) comprise net profit after tax. The number of shares used in computing basic EPS is the weighted average number of shares outstanding during the year. Dilutive potential equity shares are deemed to be converted as of the beginning of the year, unless they have been issued at a later date. The number of shares used for computing the diluted EPS is the weighted average number of shares outstanding during the year after considering the dilutive potential equity shares.

j. Segment Reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Chairperson and Managing Director of the Group is responsible for allocating resources and assessing performance of the operating segments and accordingly is identified as the Chief Operating Decision Maker (CODM). All operating segments' operating results are reviewed regularly by the CODM to make decisions about resources to be allocated to the segments and assess their performance.

The Group operates in one reportable business segment i.e. "Pharmaceuticals".

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k. Revenue**i. Sale of goods**

Revenue from sale of goods is recognized when a promise in a customer contract (performance obligation) has been satisfied by transferring control over the promised goods to the customer. Control is usually transferred upon shipment, delivery to, upon receipt of goods by the customer, in accordance with the delivery and acceptance terms agreed with the customers. The amount of revenue to be recognized is based on the consideration expected to be received in exchange for goods, excluding applicable discounts, sales returns and any taxes or duties collected on behalf of the government which are levied on sales such as GST where applicable. Any additional amounts based on terms of agreement entered into with customers, is recognized in the period when the collectability becomes probable and a reliable measure of the same is available.

ii. Sales return allowances

The Group accounts for sales return by recording an allowance for sales return concurrent with the recognition of revenue at the time of a product sale. The allowance is based on Group's estimate of expected sales returns. The estimate of sales return is determined primarily by the Group's historical experience in the markets in which the Group operates.

iii. Interest income or expense

Interest income or expense is recognized using the effective interest method on time proportion method.

l. Contract Balances**i. Contract assets**

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

ii. Trade receivable

A receivable is recognized if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section (a) Financial instruments – initial recognition and subsequent measurement.

iii. Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Company performs under the contract.

m. Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether:

- The contract involves use of an identified asset whether specified explicitly or implicitly
- The Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use;

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- The Group has right to direct the use of the asset by either having right to operate the asset or the Group having designed the asset in a way that predetermines how and for what purpose it will be used.

i. As lessee

The Group's lease asset classes primarily consist of leases for buildings and plant and machinery. The Group, at the inception of a contract, assesses whether the contract is a lease or not. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a time in exchange for a consideration.

The Group elected to use the following practical expedients on initial application:

- Applied a single discount with similar characteristics.
- Applied the exemption not to recognise right-of-use assets and liabilities for leases with less than 12 months of lease term on the date of initial application.
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application.

To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in Ind AS 116. At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of buildings in which it is a lessee, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognized in the Statement of Profit and Loss.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Group's incremental borrowing rate. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Group recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in Statement of Profit and Loss.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date
- Amounts expected to be payable under a residual value guarantee and the exercise price under a purchase option that the Group and its associate is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

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The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero. The Group presents right-of-use assets that do not meet the definition of investment property in 'property, plant and equipment' and lease liabilities in 'financial liabilities' in the statement of financial position.

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The Group recognises the lease payments associated with these leases as an expense in the Statement of Profit or Loss over the lease term.

n. Income tax

Income tax comprises current and deferred income tax. Income tax expense is recognised in statement of profit and loss or in other comprehensive income.

i. Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. Current tax for current year and prior periods is recognised at the amount expected to be paid or recovered from the tax authorities, using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date

ii. Deferred tax

Deferred income tax assets and liabilities are recognized for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements except when:

- temporary differences arising on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss at the time of transaction;
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred income tax assets and liabilities are measured using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

The effect of changes in tax rates on deferred income tax assets and liabilities is recognized as income or expense in the period that includes the enactment or substantive enactment date. A deferred income tax assets is recognized to the extent it is probable that future taxable income will be available against which the deductible temporary timing differences and tax losses can be utilized.

Deferred tax assets and deferred tax liabilities are offset only if there is a legally enforceable right to set off the recognized amounts and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

Granules USA, Inc.

Notes to Consolidated Financial Statements

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

i. Borrowing cost

Borrowing costs are interest and other costs incurred in connection with the borrowing of funds. Borrowing costs directly attributable to acquisition or construction of an asset which necessarily take a substantial period of time to get ready for their intended use are capitalized as part of the cost of that asset. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs. Other borrowing costs are recognized as an expense in the period in which they are incurred.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

3A. Property, plant and equipment

Particulars	Leasehold Improvements	Plant and machinery	Computers	Office equipment	Furniture and fittings	Vehicles	Total Assets
Gross carrying amount							
At April 01, 2022	2.04	4.96	4.88	0.09	4.46	3.49	19.92
Additions	-	-	0.18	-	-	-	0.18
Disposals	-	-	(0.52)	-	-	-	(0.52)
Exchange differences	0.17	0.41	0.39	-	0.36	0.29	1.62
At March 31, 2023	2.21	5.37	4.93	0.09	4.82	3.78	21.20
Additions	651.29	559.48	7.50	22.15	12.68	-	1,253.10
Disposals	-	-	-	-	-	-	-
Exchange differences	0.04	0.09	0.22	-	0.08	0.05	0.48
At March 31, 2024	653.54	564.94	12.65	22.24	17.58	3.83	1,274.78
Accumulated Depreciation							
At April 01, 2022	1.01	4.96	4.36	0.06	4.27	3.49	18.15
Depreciation for the year	0.16	-	0.11	0.01	0.17	-	0.45
Exchange differences	0.08	0.40	0.21	0.01	0.35	0.29	1.34
At March 31, 2023	1.25	5.36	4.68	0.08	4.79	3.78	19.94
Depreciation for the year	49.15	31.12	1.67	3.68	1.05	-	86.67
Exchange differences	0.25	0.23	0.29	0.01	0.08	0.05	0.91
At March 31, 2024	50.65	36.71	6.64	3.77	5.92	3.83	107.52
Net carrying amount							
At March 31, 2023	0.96	0.01	0.25	0.01	0.03	-	1.26
At March 31, 2024	602.89	528.23	6.01	18.47	11.66	-	1,167.26

i) The Group has not revalued its property, plant and equipment during the current or previous year

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

3B. Right-of-use assets

Particulars	March 31, 2024	March 31, 2023
Gross carrying amount		
Opening balance	682.93	-
Additions	-	682.93
Disposals	-	-
Exchange differences	10.23	-
Closing balance	693.16	682.93
Accumulated Depreciation		
Opening balance	60.31	-
Depreciation for the year*	60.80	60.27
Exchange differences	1.73	0.04
At March 31, 2023	122.84	60.31
Net carrying amount	570.32	622.62

* Out of total depreciation of INR 60.27 million in the previous year, depreciation of INR 54.43 million is capitalized.

3C. Capital work-in-progress**Capital work-in-progress movement**

Particulars	March 31, 2024	March 31, 2023
Balance at the beginning	1,358.30	4.18
Additions	320.87	1,324.44
Capitalized during the year	(1,253.10)	(0.18)
Exchange difference	22.85	29.86
Balance at the end	448.92	1,358.30

Ageing Schedule for Capital work in progress as below

Particulars	March 31, 2024				March 31, 2023			
	Amount for period of				Amount for period of			
	less than 1 year	1-2 years	2-3 years	Total	less than 1 year	1-2 years	2-3 years	Total
Projects in progress	237.60	211.32	-	448.92	1,354.12	4.18	-	1,358.30
Total	237.60	211.32	-	448.92	1,354.12	4.18	-	1,358.30

i) Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling plans.

ii) Project in progress are neither overdue nor exceeds their cost when compared to its original plan during the current or previous year.

iii) For contractual commitments - refer note 22.

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3D. Other intangible assets

Particulars	Technical know how	Fixed term software	Total
Gross carrying amount			
At April 01, 2022	0.34	-	0.34
Additions	-	-	-
Disposals	-	-	-
Exchange differences	0.03	-	0.03
At March 31, 2023	0.37	-	0.37
Additions	-	20.30	20.30
Disposals	-	-	-
Exchange differences	-	-	-
At March 31, 2024	0.37	20.30	20.67
Accumulated Depreciation			
At April 01, 2022	0.34	-	0.34
Depreciation for the year	-	-	-
Exchange differences	0.03	-	0.03
At March 31, 2023	0.37	-	0.37
Depreciation for the year	-	1.68	1.68
Exchange differences	-	-	-
At March 31, 2024	0.37	1.68	2.05
Net carrying amount			
At March 31, 2023	-	-	-
At March 31, 2024	-	18.62	18.62

The Group has not revalued its intangible assets during the current or previous year.

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(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

4. Inventories (at lower of cost and net realisable value)

Particulars	As at	As at
	March 31, 2024	March 31, 2023
Packing materials	290.29	169.55
Finished goods*	2,422.31	1,687.90
Total	2,712.60	1,857.45

* includes finished goods in transit INR 976.75 millions (March 31, 2023 - INR 834.56 millions)

i) The Company recorded inventory write-down/(reversal) of INR 17.54 millions (March 31, 2023 - INR 8.49 millions). These were recognized as an expense during the year and included in changes in finished goods and work-in-progress in Statement of profit and loss.

5. Financial assets**5A. Trade receivables**

Particulars	As at	As at
	March 31, 2024	March 31, 2023
(a) Considered good	2,023.67	1,259.27
(b) Significant increase in credit risk	33.97	-
(c) Credit impaired	17.11	24.43
	2,074.75	1,283.70
Allowance for doubtful trade receivables	(17.11)	(24.43)
Total	2,057.64	1,259.27

Trade receivables are non-interest bearing and are generally on terms of less than 1 year.

The Group's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in Note 25.

Refer Note 23 for trade receivables from related

Details of changes in allowance for doubtful trade receivables/ credit losses :

Particulars	As at	As at
	March 31, 2024	March 31, 2023
Balance at the beginning of the year	24.43	-
Provision made during the year, net of reversals	(7.40)	23.89
Exchange Difference	0.08	0.54
Total	17.11	24.43

Ageing Schedule for Trade receivables as below**As at March 31, 2024**

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	< 6 months	6 months -1 year	1-2 Years	2-3 years	> 3 years	
(i) Undisputed Trade receivables - considered good	1,120.16	746.40	157.11	-	-	-	2,023.67
(ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	6.84	27.13	-	-	33.97
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	17.11	-	-	17.11
Total	1,120.16	746.40	163.95	44.24	-	-	2,074.75

Granules USA, Inc.
Notes to Consolidated Financial Statements

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As at March 31, 2023

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	< 6 months	6 months -1 year	1-2 Years	2-3 years	> 3 years	
(i) Undisputed Trade receivables - considered good	952.96	303.14	3.17	-	-	-	1,259.27
(ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	24.43	-	-	-	24.43
Total	952.96	303.14	27.60	-	-	-	1,283.70

5B. Cash and cash equivalents

Particulars	As at March 31, 2024	As at March 31, 2023
Balance with banks:		
In current accounts	316.84	156.16
Total	316.84	156.16

5C. Other financial assets - Non current

Particulars	As at March 31, 2024	As at March 31, 2023
Security deposits	7.43	8.45
Other receivables	7.87	8.35
Total	15.30	16.80

The Company's exposure to currency risks are disclosed in Note 25

6. Other assets
6A. Other non-current assets

Particulars	As at March 31, 2024	As at March 31, 2023
Advance for capital works	1.18	38.96
Total	1.18	38.96

6B. Other current assets

Particulars	As at March 31, 2024	As at March 31, 2023
Prepaid expenses	14.61	8.34
Advance to suppliers	23.35	4.04
Total	37.96	12.38

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7. Equity Share capital

	As at March 31, 2024	As at March 31, 2023
Authorized share capital		
2,500,000 (March 31, 2023: 2,500,000) equity shares of USD 0.10 each	11.63	11.63
	11.63	11.63
Issued, subscribed and fully paid up shares		
700,000 fully paid up equity shares of USD 0.10 each (March 31, 2023: 700,000 equity shares of USD 0.10 each)	3.26	3.26
Total issued, subscribed and fully paid-up share capital	3.26	3.26

7A Reconciliation of shares outstanding at the beginning and at the end of the year

	As at March 31, 2024		As at March 31, 2023	
	No.	Rs	No.	Rs
At the beginning of the year	7,00,000	3.26	7,00,000	3.26
Add: Shares issued during the year	-	-	-	-
Number of shares at the end of the year	7,00,000	3.26	7,00,000	3.26

7B Terms/rights attached to equity shares

The Company has only one class of equity shares having a par value of USD 0.10 per share. Each holder of equity shares is entitled to one vote per share. The Company has not declared any dividend during the year ended March 31, 2024 and March 31, 2023. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. However, no such preferential amounts exist currently. The distribution will be in proportion to the number of equity shares held by the shareholders.

7C Details of shareholders holding more than 5% equity shares in the Company

	As at March 31, 2024		As at March 31, 2023	
	Numbers	% holding	Numbers	% holding
Granules India Limited	7,00,000	100.00	7,00,000	100.00

As per records of the Company, including its register of shareholders/members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares.

8. Other equity

Particulars	As at March 31, 2024	As at March 31, 2023
Securities Premium	8.37	8.37
Retained earnings	9.00	197.39
Foreign currency translation reserve	18.77	17.57
Total	36.14	223.33

Securities premium reserve

Securities premium represents premium received on issue of shares.

Retained earnings

The amount that can be distributed by the Company as dividends to its equity shareholders.

Foreign currency translation reserve (FCTR):

These financial statements are presented in Indian rupees (INR). The assets and liabilities are translated into INR at the rate of exchange prevailing at the reporting date and their statements of profit or loss are translated at exchange rates prevailing at the dates of the transactions. For practical reasons, the Company uses an average rate to translate income and expense items, if the average rate approximates the exchange rates at the dates of the transactions. The exchange differences arising on translation are recognised in Other Comprehensive Income (OCI).

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9. Financial liabilities**9A. Borrowings (Current)**

Particulars	As at March 31, 2024	As at March 31, 2023
Working capital loan from bank (secured)	1,250.10	1,231.69
Total	1,250.10	1,231.69

i. Under a line of credit agreement (the “agreement”) with a bank, the Company has available facility of USD 15 Million.

ii. This borrowing is repayable on maturity date i.e. May 31, 2024 or on demand.

iii. The interest rate as per the agreement was stipulated at 0.90% plus the applicable Compounded Reference Rate.

iv. Borrowing secured with corporate guarantee given by Granules India Limited (Holding company)

iv. Group's exposure to interest rate risk and liquidity risk are included in note 25

9B. Trade payables

Particulars	As at March 31, 2024	As at March 31, 2023
Trade payables (refer notes below)	5,371.00	3,126.29
Total	5,371.00	3,126.29

Note (a):

The Group's exposure to currency and liquidity risks related to trade payables is disclosed in Note 25.

Refer Note 23 for trade payables to related parties.

Note (b):**Ageing Schedule for Trade payables as below****As on March 31, 2024**

Particulars	Outstanding for following periods from due date of payment				Total
	less than 1 year	1-2 Years	2-3 Years	More than 3 years	
i) MSME	-	-	-	-	-
ii) Others	5,344.76	26.24	-	-	5,371.00
iii) Disputed dues-MSME	-	-	-	-	-
iv) Disputed dues-others	-	-	-	-	-

As on March 31, 2023

Particulars	Outstanding for following periods from due date of payment				Total
	less than 1 year	1-2 Years	2-3 Years	More than 3 years	
i) MSME	-	-	-	-	-
ii) Others	3,126.29	-	-	-	3,126.29
iii) Disputed dues-MSME	-	-	-	-	-
iv) Disputed dues-others	-	-	-	-	-

9C. Other financial liabilities

Particulars	As at March 31, 2024	As at March 31, 2023
Dues to employees	94.95	28.72
Interest accrued but not due	0.66	6.34
Creditors for capital works	17.26	-
Others	39.07	-
Total	151.94	35.06

10. Other current liabilities

Particulars	As at March 31, 2024	As at March 31, 2023
Contract liabilities (refer note 12)	10.25	51.55
Total	10.25	51.55

Granules USA, Inc.**Notes to Consolidated Financial Statements**

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11. Leases**The following is the break up of current and non current lease liabilities**

Particulars	As at March 31, 2024	As at March 31, 2023
Non-current lease liabilities	581.87	619.05
Current lease liabilities	46.43	34.53
Total	628.30	653.58

The following is the movement in lease liabilities :

Particulars	As at March 31, 2024
The Following is the movement in lease liabilities:	
Balance as at March 31, 2022	-
Additions	682.93
Finance cost incurred during the year [#]	30.27
Deletions	-
Payments of lease liabilities	(58.97)
Exchange difference	(0.65)
Balance as at March 31, 2023	653.58
Additions	-
Finance cost incurred during the year	32.53
Deletions	-
Payments of lease liabilities	(67.27)
Exchange difference	9.46
Balance as at March 31, 2024	628.30

Interest on lease liability amounting to INR 28.84 Mn for the year ended March 31, 2023 was capitalised.

The table below provides details regarding the contractual maturities of lease liabilities on an undiscounted basis.

Particulars	As at March 31, 2024	As at March 31, 2023
Less than one year	77.01	66.72
One to five years	314.45	309.23
More than five years	412.44	482.81
	803.90	858.76

i. The Company does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

ii. The effective interest rate for lease liabilities is 5%, with maturity between 2027-2034

Amounts recognised in statement of profit and loss related to leases

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Depreciation expenses of right-of-use assets (refer note 18) [*]	60.80	5.84
Interest expense on lease liabilities (refer note 17) [#]	32.53	1.43
Expenses relating to short term leases (refer note 19)	148.98	91.14
Total amount recognized in Statement of profit and loss	242.31	98.41

^{*} Depreciation on right of use assets amounting to INR 54.43 Mn for the year ended March 31, 2023 was capitalised.[#] Interest on lease liability amounting to INR 28.84 Mn for the year ended March 31, 2023 was capitalised.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

12. Revenue from operations

Particulars	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Sale of products	7,187.77	7,266.50
Total	7,187.77	7,266.50

The operations of the Company are limited to one segment viz. pharmaceuticals products. Revenue from contract with customers is from sale of manufactured goods. Sale of goods are made at a point in time and revenue is recognised upon satisfaction of the performance obligations which is typically upon dispatch / delivery. The Company has a credit evaluation policy based on which the credit limits for the trade receivables are established. There is no significant financing component as the credit period provided by the Company is not significant.

Details of contract liabilities:

Particulars	As at March 31, 2024	As at March 31, 2023
Contract liabilities (refer note 10)	10.25	51.55
	10.25	51.55

The Contract liabilities primarily relate to advance consideration received from customers for sale of products, for which revenue is recorded at a point in time. The amount of Rs. 51.55 Mn included in contract liabilities as at March 31, 2023 has been recognised as revenue in the current year.

13. Other income

Particulars	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Sales Commission	129.07	-
Warehouse income	23.91	-
Miscellaneous income	0.04	-
Insurance claim receivables	-	22.35
Subsidy income	-	7.58
Total	153.02	29.93

14. Cost of materials consumed

Particulars	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Inventory at the beginning of the year	169.55	72.96
Add: Purchases	6,691.28	7,177.11
	6,860.83	7,250.07
Less: Inventory at the end of the year	290.29	169.55
Cost of materials consumed	6,570.54	7,080.52

15. Changes in inventory of work-in-progress and finished goods

Particulars	For the year ended Mar 31, 2024	For the year ended Mar 31, 2023
Inventories at the end of the year		
Finished goods	2,422.31	1,687.91
	2,422.31	1,687.91
Inventories at the beginning of the year		
Finished goods	1,687.91	1,100.87
	1,687.91	1,100.87
Total	(734.40)	(587.04)

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

16. Employee benefit expenses

Particulars	For the year ended Mar 31, 2024	For the year ended March 31, 2023
Salaries, wages and bonus	653.36	247.23
Staff welfare expenses	6.26	1.05
Total	659.62	248.28

17. Finance costs

Particulars	For the year ended Mar 31, 2024	For the year ended March 31, 2023
Interest on working capital loans	71.73	-
Interest on lease liability	32.53	1.43
Other borrowing cost	6.03	14.85
Total	110.29	16.28

18. Depreciation and amortisation expense

Particulars	For the year ended Mar 31, 2024	For the year ended March 31, 2023
Depreciation	147.47	6.29
Amortisation	1.68	-
Total	149.15	6.29

19. Other expenses

Particulars	For the year ended Mar 31, 2024	For the year ended March 31, 2023
Rent	148.98	91.14
Insurance	59.78	31.52
Consumables	30.13	-
Power and fuel	12.45	1.87
Effluent treatment expenses	2.46	-
Repairs and maintenance	57.98	-
Sales commission	33.37	48.01
Carriage outwards and clearing charges	136.11	46.50
Business promotion expense and other commercial expenses	123.13	57.70
Rates and taxes	18.83	4.77
Printing and stationery	0.06	1.47
Membership and subscriptions	18.18	12.33
Remuneration to auditors	2.58	2.08
Consultancy charges	90.74	91.59
Travelling and conveyance	15.94	15.98
Advertisement charges	43.65	30.95
Bad debts written off	24.44	-
Provision for doubtful debts	(7.40)	23.89
Miscellaneous expenses	35.56	18.08
Total	846.97	477.88

Granules USA, Inc.
Notes to Consolidated Financial Statements
(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

20. Tax expense

20A. Income tax expense:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Current Tax:		
In respect of current year	2.03	20.19
In respect of prior years	8.36	(6.33)
Total current tax expense	10.39	13.86
Deferred Tax:		
In respect of current year origination and reversal of temporary differences-Federal	(71.23)	(1.09)
In respect of current year origination and reversal of temporary differences-State	(12.15)	0.85
Utilization of prior year tax loss used to reduce deferred tax expense	-	0.63
Total deferred tax expense	(83.38)	0.39
Total tax expense recognised in statement of profit and loss	(72.99)	14.25

20B. Reconciliation of income tax expense and the accounting profit multiplied by Company's domestic tax rate:

	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit/(loss) before tax	(261.38)	54.22
Income tax expense calculated at 21%	(54.89)	11.39
Effect of expenses that is non-deductible in determining taxable profit	(1.29)	(0.04)
State taxes	(10.61)	8.53
Changes in recognised deductible temporary differences	-	0.75
Others	(6.20)	(6.38)
Income tax expense recognised In profit or loss	(72.99)	14.25

20C. Deferred tax balance

(i) Movement in deferred tax balances for the year ended March 31, 2024

Particulars	For the Year ended 31 March 2024			
	As at April 01, 2023	Recognised in profit and loss	Accumulated CTA	As at March 31, 2024
Tax effect of items constituting deferred tax liabilities				
Property, plant and equipment and Intangible assets	(0.20)	(38.69)	(0.50)	(39.39)
	(0.20)	(38.69)	(0.50)	(39.39)
Tax effect of items constituting deferred tax assets				
Employee benefits	5.30	10.47	0.22	15.99
Provisions	-	13.66	0.18	13.84
Deferred income	-	2.53	0.03	2.57
Carryforward tax loss	-	73.33	0.94	74.27
Leases	0.48	13.95	0.19	14.62
Inventory - UNICAP 263A	8.70	8.12	0.44	17.26
	14.48	122.07	2.00	138.55
Net Deferred tax asset	14.28	83.38	1.50	99.16

(ii) Movement in deferred tax balances for the year ended March 31, 2023

Particulars	For the Year ended 31 March 2023			
	As at April 01, 2022	Recognised in profit and loss	Accumulated CTA	As at March 31, 2023
Tax effect of items constituting deferred tax liabilities				
Property, Plant and Equipment	(0.19)	0.01	(0.02)	(0.20)
	(0.19)	0.01	(0.02)	(0.20)
Tax effect of items constituting deferred tax assets				
Employee Benefits	7.13	(2.32)	0.49	5.30
Provisions	2.20	(2.35)	0.15	-
Deferred income	0.14	(0.15)	0.01	0.00
Carryforward Tax Loss	0.59	(0.63)	0.04	-
Leases	-	0.47	0.01	0.48
Inventory - UNICAP 263A	3.87	4.58	0.25	8.70
	13.93	(0.40)	0.95	14.48
Net Deferred tax asset	13.74	(0.39)	0.93	14.28

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

21. Earning per equity share

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit/(loss) for the year	(188.39)	39.97
Weighted average number of equity shares considered for calculation of basic EPS	7,00,000	7,00,000
Add: Effect of dilution	-	-
Weighted average number of equity shares considered for calculation of diluted EPS	7,00,000	7,00,000
Earnings per share		
- Basic (in INR)	(269.13)	57.10
- Diluted (in INR)	(269.13)	57.10

22. Contingent liabilities and commitments

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(i) Contingent liabilities:		
(a) Claims against the company not acknowledged as debt	Nil	Nil
(ii) Commitments		
(a) Estimated amount of contracts remaining to be executed on capital account and not provided for, net of advances	11.76	Nil

Open litigation as of March 31, 2024**i) Metformin Marketing and Sales Practices Litigation - NDMA Claims:**

This litigation is an economic loss-consumer class action in which plaintiffs are seeking compensation for losses for purchases of allegedly contaminated Metformin.

Granules USA, Inc. ("GUSA") and Granules Pharmaceuticals, Inc. ("GPI") are named in the litigation.

The pleadings stage is now closed for all non-Foreign Defendants. After Motions to Dismiss the original Complaint and the First Amended Complaint were granted in part, a Second Amended Complaint was filed and a Motion to Dismiss the Second Amended Complaint was filed. The Court granted in part and denied in part the applicable Motion to Dismiss, allowing nearly all of Plaintiffs' claims to move forward against the manufacturing Defendants. Thus, an Answer to Plaintiffs' Second Amended Complaint was filed on behalf of Granules and Heritage, separately. Pleadings are now closed as to non-Foreign Defendants and the litigation is now in the discovery stage.

On October 9, 2023, a new Class Action Complaint, County of Monmouth, et al. v. Apotex Inc., et al., Case No. 2-23-cv-21001, was filed in the United States District Court for the District of New Jersey naming Granules and the co-Defendants from the consolidated litigation, as well as new co-Defendants, including Apotex Inc., Lupin Pharmaceuticals, Inc., and Nostrum Laboratories, Inc. The Complaint tracks, for the most part, the allegations in the Second Amended Economic Loss Complaint which is operative in the consolidated litigation in the District of New Jersey.

Granules and Heritage accepted service of the Complaint and Defendants' Motion to Dismiss was filed January 31, 2024. Instead of opposing the motion, Plaintiffs instead filed a First Amended Class Action Complaint, dropping all Pharmacy Defendants as well as Apotex, Lupin and Nostrum. The FAC names Granules, Heritage and the other manufacturing Defendants named in the consolidated litigation. Defendants briefed and filed a motion to dismiss the FAC on several grounds. Plaintiffs have now engaged in discussions with Defendants regarding consolidation of the County of Monmouth FAC into the consolidated litigation that has been ongoing, as expected. These negotiations are ongoing and still in their very early stages.

Relying on the Tender of Defense from the consolidated litigation, Granules received Notices of Third-Party Claim, Indemnity and Tender of Defenses from Avet regarding this matter, and a request by Avet was made for Granules to assume the defense of Avet in the County of Monmouth action. Granules has agreed to accept this tender.

There has not been any settlement demand in this litigation.

ii) Zantac (Ranitidine) Products Liability Litigation:

The case in Federal Court in Florida against the Group was dismissed. Plaintiffs have appealed this dismissal to the 11th Circuit Court of Appeals while the litigation has progressed at the trial level against the remaining Defendants, including through a favorable decision on Daubert, wherein the Court found a failure on Plaintiffs' part to prove general causation in this case. This decision is up on appeal as well and is pending before the 11th Circuit. No decision on any appeal has been made and there is no timeline for when such decisions will be made.

At the state court level, Granules USA and/or Granules India are currently named in fifty-three (53) cases filed in California. Granules USA and/or Granules India are named in two (2) individual cases filed in the Philadelphia, Pennsylvania Mass Tort Program, including a Master Long Form Complaint against Generic Defendants. While Granules was previously named in several Illinois pleadings, an agreement was reached wherein Plaintiffs' counsel in Illinois agreed not to name Granules in any litigation going forward. The prior lawsuits naming Granules in Illinois have been dismissed and no new Illinois complaints naming Granules have been filed, per the agreement.

In California, Plaintiffs' counsel never adequately served any of the 53 short form complaints naming Granules. However, counsel for Granules, in consultation with Granules, agreed to accept electronic service of the complaints in exchange for an agreement to file an omnibus demurrer along with several other named generics in the California litigation. This demurrer has been fully briefed and will be heard by the Court on April 15, 2024.

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

In Pennsylvania, all generic manufacturing Defendants filed Preliminary Objections to the Master Long Form Complaint. Plaintiffs filed an opposition to same and oral argument was held. A decision on the Objections was made by the Court wherein nearly all, if not all, claims against generic manufacturers, including Granules, were dismissed. Since the order from the Court was not entirely clear on the complete dismissal, we filed an Answer to the Master Long Form Complaint out of an abundance of caution and after consultation with the other generic Defendants. Plaintiffs and Brand defendants have begun selecting bellwether cases. However, since Granules has reached agreement to be removed from all cases naming Granules, no cases identifying Granules have thus far been selected for trial work up.

Since these cases are only in their very initial stages, no analysis as to liability is yet available. After discovery commences, a clearer picture of liability will be had.

Granules USA, Inc.
Notes to Consolidated Financial Statements
(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

23. Related party disclosures

23A.Names of related parties and description of relationship

Name of the related party	Relationship
Granules India Limited	Holding Company
Granules Pharmaceuticals, Inc.	Subsidiary of holding company
Product Armor Packaging Private Limited	Enterprises over which key management personnel or their relatives exercise significant influence
Key managerial personnel	
Mr. Harsha Chigurupati	Director
Mr. Vijay Ramanavarapu	Director
Ms. Priyanka Chigurupati	Director
Mr. Kamal Mandan (w.e.f December 18, 2023)	Director and Chief financial officer

ii) Transactions during the year

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
a) Holding company and its related parties		
i) Granules India Limited		
Purchases	5,637.20	6,065.91
Sale of goods	4.14	-
Sales commission	128.18	-
Reimbursement from	207.48	-
Reimbursement to	46.39	69.17
Corporate Guarantee commission	1.99	2.53
Cross charge	5.21	0.43
ii) Granules Pharmaceuticals, Inc		
Sale of goods	385.51	163.30
Purchase of goods	31.55	17.21
Recovery of expenses	128.50	3.99
Reimbursement of expenses	46.35	12.12
Short term advance taken	149.00	-
Short term advance paid	149.00	-
b) Transactions with enterprises over which key management personnel - directors or their relatives exercise significant influence		
i) Product Armor Packaging Pvt Ltd		
Purchase of goods	205.44	-
c) Transactions with key managerial personnel - directors or their relatives exercise significant influence		
Mr. Vijay Ramanavarapu		
Remuneration	46.37	38.15
Recovery of expenses	(46.37)	-

iii) Closing balances

Particulars	As at March 31, 2024	As at March 31, 2023
a) Holding company and its related parties		
i) Granules India Limited		
Share capital	11.63	11.63
Trade payables	5,084.46	2,772.04
Trade receivables	53.07	14.53
Corporate guarantee taken	1,312.71	1,293.28
ii) Granules Pharmaceuticals, Inc		
Trade payables	79.62	
Trade receivables	180.78	20.59
b) Enterprises over which key management personnel - directors or their relatives exercise significant influence		
i) Product Armor Packaging Pvt Ltd		
Trade payables	4.72	-

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Lakhs except share data and unless otherwise stated)

24. Fair values measurement

The management assessed that loans, cash and cash equivalents, trade receivables, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

Fair valuation measurement hierarchy

The following table shows the carrying amounts and fair values of financial assets and liabilities including their levels of fair value hierarchy:

Particulars	As at March 31, 2024						
	Carrying amount				Fair Value		
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Other non current financial assets			15.30	15.30	-	-	-
Trade receivables			2,057.64	2,057.64	-	-	-
Cash and cash equivalents	-	-	316.84	316.84	-	-	-
	-	-	2,389.78	2,389.78	-	-	-
ii) Financial liabilities							
a) Financial assets not measured at fair value							
Non-current lease liabilities	-	-	581.87	581.87	-	-	-
Borrowings	-	-	1,250.10	1,250.10	-	-	-
Trade payables	-	-	5,371.00	5,371.00	-	-	-
Current lease liabilities	-	-	46.43	46.43	-	-	-
Other current financial liabilities	-	-	151.94	151.94	-	-	-
	-	-	7,401.34	7,401.34	-	-	-
As at March 31, 2023							
Particulars	Carrying amount				Fair Value		
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Other non current financial assets	-	-	16.80	16.80	-	-	-
Trade receivables			1,259.27	1,259.27	-	-	-
Cash and cash equivalents	-	-	156.16	156.16	-	-	-
	-	-	1,432.23	1,432.23	-	-	-
ii) Financial liabilities							
a) Financial assets not measured at fair value							
Non-current lease liabilities	-	-	619.05	619.05	-	-	-
Borrowings			1,231.69	1,231.69	-	-	-
Trade payables	-	-	3,126.29	3,126.29	-	-	-
Current lease liabilities			34.53	34.53	-	-	-
Other current financial liabilities			35.06	35.06	-	-	-
	-	-	5,046.62	5,046.62	-	-	-

25. Financial risk management**Framework**

The Company is exposed primarily to Credit Risk, Liquidity Risk and Market risk (fluctuations in foreign currency exchange rates and interest rate), which may adversely impact the fair value of its financial instruments. The Company assesses the unpredictability of the financial environment and seeks to mitigate potential adverse effects on the financial performance of the Company.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Financial instruments that are subject to concentrations of credit risk principally consist of trade receivables, investments, cash and cash equivalents, bank deposits, loans given and other financial assets. None of the financial instruments of the Company result in material concentration of credit risk, except for trade receivable.

Ind AS requires expected credit losses to be measured through a loss allowance. The Company assesses at each date of statements of financial position whether a financial asset or a group of financial assets is impaired. Expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition. The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward-looking information. The maximum exposure to credit risk was Rs. 2,057.64 millions and 1,259.27 millions as of March 31, 2024 and March 31, 2023 respectively, being the total of the carrying amount of balances with trade receivables.

Granules USA, Inc.

Notes to Consolidated Financial Statements

(All amounts are in Indian Rupees Lakhs except share data and unless otherwise stated)

Expected credit loss for trade receivables as at March 31, 2024

Particulars	Not Due	0-180 days	81-365 days	> 365 days	Total
Gross carrying amount of trade receivables	1,120.16	746.40	163.95	44.24	2,074.75
Expected credit losses (Loss allowance provision)	-	-	-	-	(17.11)
Net carrying amount of trade receivables	1,120.16	746.40	163.95	44.24	2,057.64

Expected credit loss for trade receivables as at March 31, 2023

Particulars	Not Due	0-180 days	81-365 days	> 365 days	Total
Gross carrying amount of trade receivables	952.96	303.14	27.60	-	1,283.70
Expected credit losses (Loss allowance provision)	-	-	-	-	(24.43)
Net carrying amount of trade receivables	952.96	303.14	27.60	-	1,259.27

Liquidity Risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2024:

Particulars	Carrying Value Less than 1 year	1-2 years	2-5 years	More than 5 years	Total
Lease liabilities	628.30	77.01	79.00	412.44	803.90
Trade payables	5,371.00	5,371.00	-	-	5,371.00
Current borrowings	1,250.10	1,250.10	-	-	1,250.10
Other financial liabilities	151.94	151.94	-	-	151.94

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2023:

Particulars	Carrying Value Less than 1 year	1-2 years	2-5 years	More than 5 years	Total
Lease liabilities	653.58	66.72	75.87	482.81	858.76
Trade payables	3,126.29	3,126.29	-	-	3,126.29
Current borrowings	1,231.69	1,231.69	-	-	1,231.69
Other financial liabilities	35.06	35.06	-	-	35.06

Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of change in market interest rates. As the Company's debt obligation with fixed interest rates is subject to insignificant change, exposure to the risk of changes in market interest rates are substantially independent of changes in market interest rates.

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of borrowings affected. With all other variables held constant, the Company's profit before tax is affected through the impact on borrowings, as follows:

Particulars	Change in basis points	March 31, 2024	March 31, 2023
USD - Borrowings	+100	12.50	12.32
	-100	(12.50)	(12.32)

Foreign Currency exchange rate risk

The Company predominantly deals in US Dollars which is the currency of the country in which it is domiciled. Hence, fluctuation in foreign currency exchange rates has no potential impact on the statement of profit or loss and other comprehensive income and equity considering the countries and economic environment in which the Company operates.

26. Segment reporting

A. Basis of segmentation

The operations of the Company are limited to one segment viz. Pharmaceutical products including ingredients and intermediaries. The products being sold under this segment are of similar nature and comprises of pharmaceutical products only. Accordingly, management has identified pharmaceutical segment as the only operating segment for the Company.

B. Segment information for secondary segment reporting (by geographical segment)

The Company has reportable geographical segments based on location of its customers:

- Revenue from customers within USA – Domiciled country
- Revenue from customers outside USA – Other than domiciled country

The Company is engaged in the trading of Pharmaceuticals, which in the context of Ind AS 108 is considered only business segment:

As at March 31, 2024			As at March 31, 2023		
Domiciled Country	Other than Domiciled Country	Total	Domiciled Country	Other than Domiciled Country	Total

Granules USA, Inc.**Notes to Consolidated Financial Statements**

(All amounts are in Indian Rupees Lakhs except share data and unless otherwise stated)

Revenue	7,067.76	120.01	7,187.77	7,132.69	133.81	7,266.50
Non-current assets (refer note i)	2,211.49	-	2,211.49	2,021.14	-	2,021.14

Note:

i) Non-current assets for this purpose consists of property, plant and equipment, right-of-use assets, capital work-in-progress, other intangible assets, income tax assets (net), other non-current assets.